

Harvest Capital's \$600M Florida Deal Shows Land Banking Is Back, but Only With Institutional Partners

The recapitalization reveals how private credit is reshaping land development finance in the Sun Belt.

The most important number in Harvest Capital and TPG Credit's \$600 million recapitalization of Metro Development Group is not the loan amount. It is the structure: a dedicated capital platform for future expansion, not just a refinancing of existing assets. This is not a rescue. It is a scaling mechanism.

The transaction, completed at the end of first quarter 2026, recapitalizes a portfolio of 10 master-planned communities in Florida while establishing a vehicle to fund Metro's expansion across the Southeast. The deal pushes the Harvest Capital-TPG Credit partnership past \$2.1 billion in commitments since late 2021, with more than 120 projects and 45,000 residential lots financed.

What the market should hear is that institutional private credit is now willing to underwrite land risk at scale, but only through dedicated platforms with proven operators. The days of regional banks funding speculative land positions on balance sheet are not returning. The capital that replaced them is more expensive, more selective, and more structural. Metro Development Group is one of the largest private master-planned community developers in Florida.

The company controls land positions in high-growth corridors where demographic and migration trends remain intact. The recapitalization gives Metro a multi-year capital runway to convert raw land into finished lots and sell them to national homebuilders. The incentive map is clear. Metro gets nonrecourse financing, a term that matters when land development carries entitlement, infrastructure, and absorption risk.

TPG Credit gets a relationship with a top-tier developer in a market where land supply is constrained and homebuilder demand for finished lots remains strong. Harvest Capital earns fees and carries as the origination and asset management partner. This is not a bet on Florida real estate broadly.

It is a bet on a specific sponsor, a specific land basis, and a specific capital structure that can survive a downturn in absorption without triggering a margin call. The pattern is becoming familiar. Private credit firms are not writing blank checks to land developers. They are building dedicated platforms with exclusive partnerships, nonrecourse structures, and strict underwriting on basis, entitlement status, and exit path.

The Harvest Capital-TPG platform is one of the larger examples, but the model is spreading: institutional capital wants control, transparency, and alignment with developers who have already proven they can execute through a cycle. Who benefits? Metro Development Group gets liquidity and expansion capacity without diluting equity. TPG Credit gets a diversified portfolio of land assets with a manager who knows the local entitlement and infrastructure landscape.

Harvest Capital gets a growing fee stream and a track record that can attract more institutional capital. Who is exposed? Regional banks that used to finance land development are watching this market move to private credit. Community and regional lenders that still hold land loans on their books face the risk that their borrowers will seek cheaper, more flexible capital from institutional platforms.

The banks that cannot compete on structure or term will lose relationships. What should the market watch next? The absorption rate of finished lots in Metro's communities. If homebuilders continue buying lots at a pace that supports the underwriting, the platform will grow. If absorption slows, the nonrecourse structure protects TPG but leaves Metro with less room to pivot. The real test is not the closing.

It is the next two years of lot sales. Private credit is not replacing bank lending in land development. It is concentrating it in the hands of developers who can command institutional trust. The rest of the market will have to find another source of capital.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co